



Price Confidence

How a new-to-online seller should set a price on Meesho, and keep resetting it

Team Edge Case, IIT Roorkee

Ishan Tandon | Malav Sanghvi | Niviti Sharma

Detailed deck, Round 2

Sellers price the parcel once, and leave out what selling online costs

Round 1 research: 7 detailed seller interviews, tested against 307 live Meesho listings across 8 categories

What each seller costed in when asked how they set a price

	S1	S2	S3	S4	S5	S6	S7
Material / product cost	•	•	•	•	•	•	•
Labour / time	—	•	•	•	•	—	•
Packaging	•	•	•	•	—	—	—
Shipping / overheads	•	•	—	—	•	•	—
Competitor price check	—	—	•	•	—	—	•
Returns / RTO costed	•	•	—	—	—	—	—
Advertising per order	•	—	•	—	—	—	—

S1, S2 apparel; S3 decor; S4, S5 crochet; S6 handmade soap; S7 custom crafts

Only Seller 1 priced in both returns and advertising. 5 of 7 priced in no returns; 5 of 7 no advertising.

Seller 1's cost stack, in his words

Product cost	₹250
Packaging	₹15
Shipping	₹70
Return / RTO	₹30
Advertising per order	₹20
Profit	₹100
Required revenue	₹485

$₹70 + ₹15 + ₹30 + ₹20 = ₹135$
of every order never becomes product or profit.

“Currently we charge only manufacturing cost plus delivery cost. Zero profit. First want to increase sales and achieve good rating over e-commerce.”

Seller 6, handmade soap

His ₹134 price leaves out

- Packaging, which he never named
- A buffer for returns
- The free bar he adds to every parcel as “advertising”

After listing, only discounts move, stacked on a price that is never recomputed.

A seller reaches a price in four steps: floor, band, position, launch

The floor comes from the seller's own costs plus what Meesho already knows; everything above it comes from the market and the product

01 Floor

Lowest price where the paid orders cover every parcel sent: cost of all parcels ÷ parcels paid for, plus GST.

02 Band

What close substitutes sell for right now, with recent weeks weighted most. Not the category average.

03 Position

Where to sit in the band: reviews, rating, genuine differences, listing quality. No reviews yet: stay inside the band, never above its top.

04 Launch

The price with the best expected 12-week profit. Going below the floor is a budgeted choice, with a stop.

What goes into the floor, why online is different, and who provides it

Cost	Why it matters online	Comes from
Making cost and packaging	The only costs most offline sellers already count	Seller types it
Delivery on every parcel	Paid even on parcels that come back as RTO or returns	Meesho: fee by weight
Customer returns	Refund plus pickup; a returned soap cannot be resold	Meesho: category history
RTO	Buyer refuses or can't be reached, mostly cash on delivery	Meesho: category, COD mix
Free gifts and ads per order	A free sample costs nothing on paper offline; online it is in every parcel	Seller types it
GST	Part of the listed price that never reaches the seller	Meesho: rate by category

The very first price, with no sales history

Borrow history from similar listings: how listings like this sold in their first weeks, and what buyers pay today.

No reviews yet, so stay inside the band, never above its top.

Re-check after 2 weeks or 15 reviews, as real orders replace the borrowed history.

Floor above the band? Don't cut below it: sell a pack, lighten packaging, or don't list.

Seller 6's soap: his ₹134 loses money; ₹209 is where to start

Handmade herbal soap, 200 g: materials ₹64, packaging ₹12, a free bar worth ₹15. Demo assumptions: ₹30 delivery, 5% GST, synthetic market data

What one paid order really costs him

Of 100 parcels, about 10 come back undelivered and 6% of the delivered ones are returned. Only about 84 get paid for, so they carry the cost of all 100.

Making cost, incl. pieces lost in returns	₹68
Packaging	₹14
Meesho delivery	₹36
Return pickups	₹2
Free bar	₹18
Cost of one paid order	₹138
GST (5%)	₹7
Floor price	₹145

○ Start at

₹209

Good range ₹189 to ₹229
Keeps about ₹61 on each paid order

Never list below ₹145

Why ₹209

- Most soaps sell for ₹149 to ₹228, typically ₹186; demand rose 2% in the last 4 weeks.
- 12 weeks at ₹209: about 69 orders placed, 58 of them paid. $58 \times ₹61 \approx ₹3,537$ profit.
- At ₹179: 107 orders placed but only ₹2,973. ₹229 earns a little more (₹3,627); within 5%, we take the lower price for faster reviews.
- At this price level 44% of negative reviews mention price, against 27% near ₹186.
- His offline ₹134 loses about ₹10 on every paid order.



Move the price at five moments, and let quality decide how low to go

Meesho sees what the seller can't: the funnel, the reviews, and which price pays for which product. Example: Seller 6's soap, demo data

Over the product's life: when to move the price

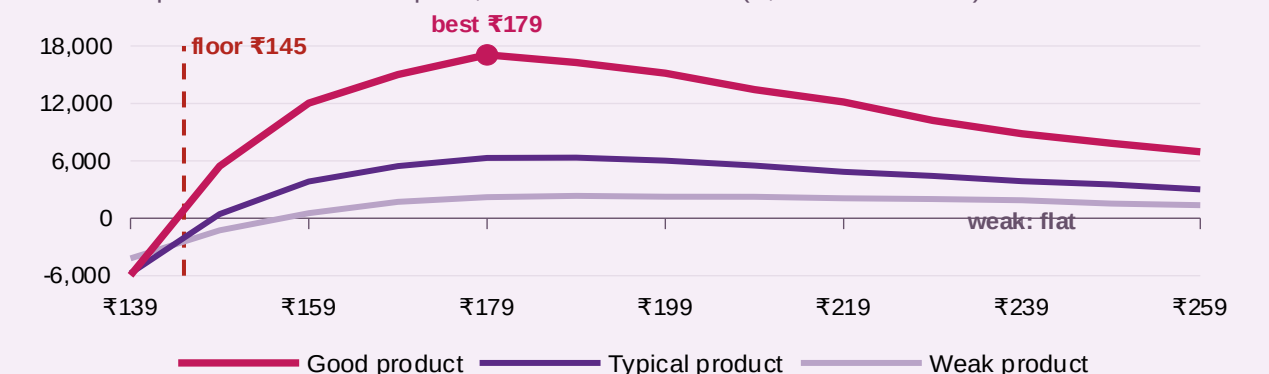
01 Launch	02 Discovery	03 Growth	04 Sales and festivals	05 Mature or slowing
Floor from costs, start from the band. Floor ₹145, start ₹209	Views but no orders for 2 weeks: read the funnel first. Toward ₹186, never below ₹145	4.1 stars and 30+ reviews: sales hold about 8% higher. Try ₹229; keep it if orders hold	Check the price after the discount against the floor. 20% off: ₹167, still above ₹145	Returns above 9% raise the floor; read the reasons first. "It melts": fix the product

Inside any week: where buyers drop off tells the seller whether price is the problem

Seen	Clicked	In cart	Ordered	Kept, reviewed
Seen, not clicked Price looks high, or a weak photo. Price Confidence compares his click rate with similar listings and shows where he sits in the band.	Clicked, no cart The page doesn't justify the price. Price Confidence points to the listing checklist first and holds the price.	In cart, no order The buyer hesitates on price. Price Confidence suggests a small cut or coupon, only if it stays above his floor.	Ordered, not kept Returns for quality, or RTO on cash on delivery. Price Confidence won't cut price for a quality problem; builds the COD mix into the floor.	Negative reviews About the price, or the product? Price Confidence splits review text: price complaints rise from 27% to 44% of negatives above the typical price.

Which price pays? It depends on the product

26-week profit at each launch price, with Seller 6's costs (₹, demo simulator)



Good product: best near the typical price, ₹179–189. Each sale brings good reviews and more buyers. **Weak product: a cut adds orders, not profit.** Fix the product.

Reviews: discount, but stay above the floor. ₹159 costs about ₹147 a review; ₹129 about ₹235 and never pays back. Our model is more cautious (starts at ₹209); a pilot price test settles it.

Others use AI to match products; none we found models full seller cost

What seven live tools and our design run in the backend, and whether they do the four jobs a new seller needs, from the public sources numbered below

What runs in the backend							Does it do the four jobs a new seller needs?				
Tool	Rules engine	Image AI	Text AI	Forecast model	Price optimiser	Cost model	Price for a new product?	Counts returns, RTO and GST?	Updates the price later?	Aims for the seller's profit?	
Amazon [1]	●	○	○	○	○	◐	No needs rivals	Partly fees only	Partly follows rivals	No top seller spot	
Flipkart [6]	○	○	○	●	●	○	Partly rival view	Unknown not published	Partly follows rivals	Partly margin + volume	
eBay [3]	○	○	●	●	○	○	Yes past sales	No fees excluded	Partly tips only	No quick sale	
Mercari [4]	●	●	●	◐	◐	○	Yes photo + text model	No seller sets floor	Partly only goes down	No aims to sell	
Airbnb [5]	◐	○	○	●	●	○	Yes home details	No host decides	Yes every day	Partly more bookings	
Competera [7]	●	○	○	●	●	◐	No needs history	Partly store's costs	Yes all the time	Yes store's profit	
Meesho today [2]	○	●	●	◐	◐	◐	Yes if matches exist	Partly logistics only	Partly sorts by sales	Partly sales + margin	
Price Confidence	●	◐	◐	●	◐	●	Yes cost + market	Yes all three	Yes up or down + why	Yes seller's profit	

● Documented in public sources

◐ Partial or indirect

○ Not public (may exist, can't confirm)

The gap

No tool we found prices a new product on full cost (returns, RTO, GST). Three use cost only partly. Meesho's own blog lists return-price insight as a next step [2].

Ideas we borrow

- Amazon: a minimum price, crossed only on purpose (our launch investment)
- eBay: a chance-of-sale view beside the price
- Mercari: a seller-set floor, with the price stepping down to it only when similar items aren't selling

Where they lead: their models already run in production. Ours is a design that needs Meesho's order data and a pilot to prove it.

[1] Amazon Automate Pricing (Amazon seller tools) [2] Meesho Tech blog: price recommendation [3] eBay price prediction talk (ZenML) [4] Mercari price guidance and Smart Pricing (Mercari Engineering) [5] Airbnb dynamic pricing, KDD 2018 [6] Flipkart Commerce Cloud (Chain Store Age) [7] Competera platform

Price Confidence: a pricing assistant inside the Supplier Panel

Meesho's price recommendation already answers “what will sell”; we add “will it make money, and when should it move?”

Today: Price Recommendation

Finds identical listings by image and text, and suggests a competitive price.

Price Confidence adds

- The seller's own floor, with returns, RTO, COD and GST built in
- A start price and range, with the reasons one tap away
- A launch-lower planner tied to a loss budget, with a gentler above-floor option
- Alerts when rating, returns, sales or costs change

How a seller uses it

1. Types the title, making cost and packaging; optionally a photo, free gift, listing checklist and loss budget
2. Meesho fills the rest: delivery fee, return and RTO rates, GST and today's market band
3. Sees start price, range and floor; taps open the bill, the reasons and the launch test
4. Gets alerts after launch, each with a suggested number

▶ Watch the demo video

loom.com/share/c300fa0f2e26450d9860fd87da4de9cf

Scan to watch on your phone



Under the hood: three models, trained to separate price from product quality

Demo trained on 300 synthetic listings (150 soap, 150 t-shirt): 7,627 listing-weeks and 28,639 reviews, Sep 2025 to Sep 2026

A2

Visibility: how many see it

Weekly impressions, Poisson regression with one baseline per listing. New listings are shown 1.8× at first; selling at twice the category norm lifts next week's impressions 35%.

A1

Conversion: how many of them order

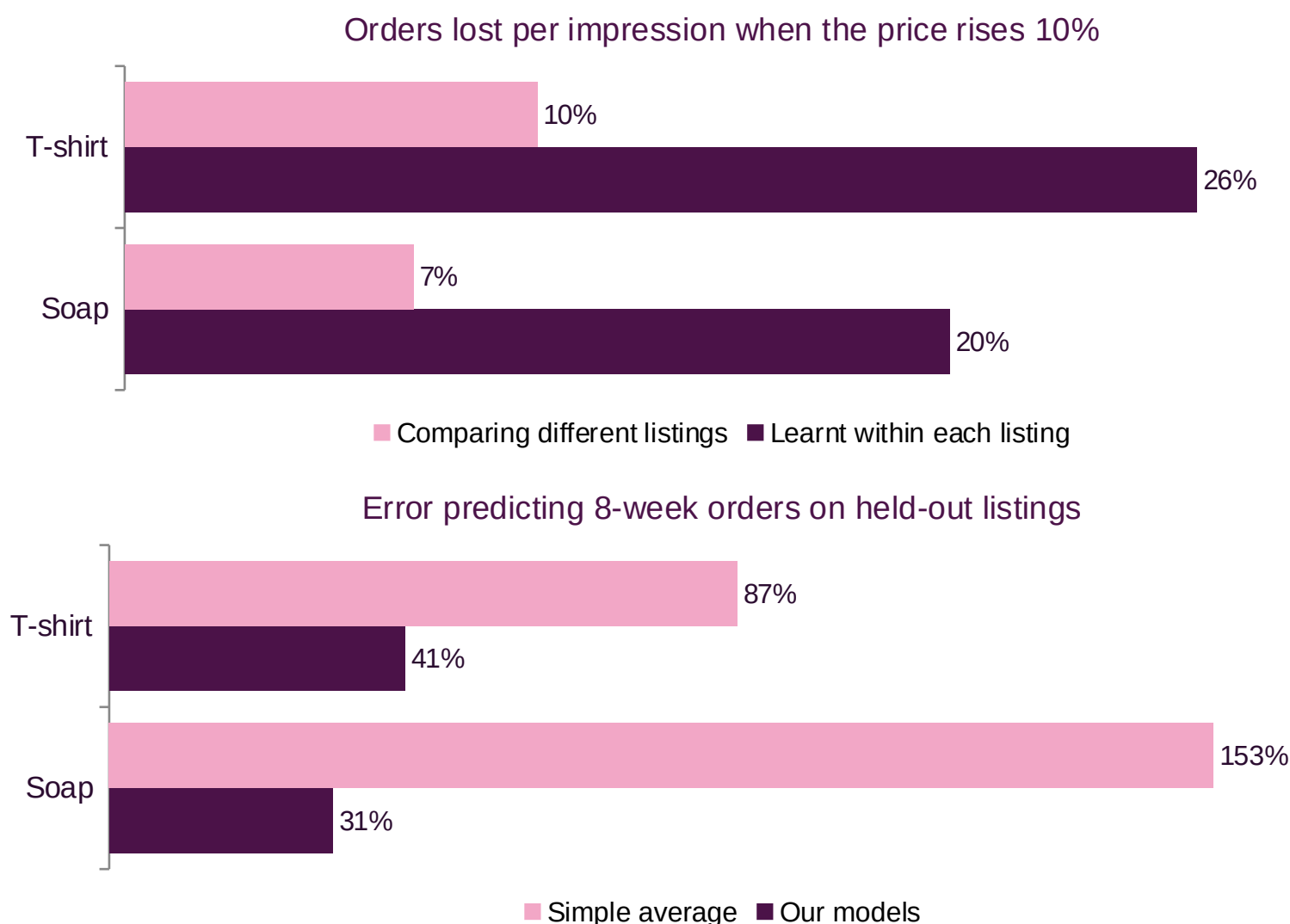
Orders per impression, with impressions as the exposure offset, and one baseline per listing, so price is learnt from each listing's own price changes. +10% price: -20% orders (soap), -26% (t-shirt).

B

Keep share: how many orders get paid

RTO 10%; returns about 6%, rising with price, 4.8% for a good product and 8.3% for a weak one; resale 0% soap, 70% t-shirts. Sets the floor: costs ÷ 0.845.

Checked against the simulator that made the data: same verdict on below-floor launches for good, typical and weak products. Our models are more cautious about discounts above the floor.



What it takes to run Price Confidence, and what it costs

Mostly data Meesho already collects, small models on CPUs, and one part-time GPU. Estimates for 10 million active listings.

Data it needs

The seller types

Making cost, packaging, free gift; optionally a loss budget.

Meesho already holds

Catalogue: title, photos, attributes, weight (sets the delivery fee).

Weekly funnel per listing: impressions, views, cart, orders.

Order outcomes: COD or prepaid, RTO, returns and reasons, resale.

Reviews: stars and text.

Market: prices of matched listings, festival and sale weeks, fee and GST tables.

How it runs

- 1

Collect. Existing event stream and order tables land daily in the data lake (Parquet on cloud storage).
- 2

Prepare. Spark or SQL jobs on Airflow build weekly listing features, market bands, and return and RTO rates.
- 3

Learn. A1, A2 and B retrain weekly in Python (statsmodels or LightGBM) on CPUs. A small multilingual text model reads reviews; product matching reuses Meesho's image and text embeddings.
- 4

Serve. A pricing service with the same logic as our demo answers the Supplier Panel in milliseconds; a nightly batch raises alerts.
- 5

Check. Model registry (MLflow), dashboards, and Meesho's A/B platform for the pilot.

What it costs a month (approx.)

Item	Sizing	₹ a month
Weekly model retraining	CPU, about 1,500 vCPU-hours a week	27,000
Nightly alerts for every listing	CPU, about 1 hour on 64 cores	8,000
Live pricing API	2 to 4 small servers, about 5 ms a request	24,000–48,000
Reading reviews, embedding new photos	1 GPU (T4), about 2 hours a day	3,500 (41,000 if always on)
Storage	Under 1 TB: features, reviews, embeddings	2,500
Total		64,000 to 1.25 lakh

No GPU is needed for the pricing models: they are small regressions. The GPU only reads reviews and new photos.

Spread over 5 lakh sellers that is about 25 paise per seller a month. Avoiding one below-cost sale a month (Seller 6 lost about ₹10 per paid order) repays it about 40 times.

How we'd prove it works, what could go wrong, and how it ships

A randomised pilot with new-to-online soap and t-shirt sellers before any wider rollout

Measuring success

Primary

Net seller profit per 1,000 listing views

Seller outcomes

Fewer new listings priced below their floor; 90-day listing survival; time to first order

Guardrails

Conversion; return and RTO rate; price complaints in reviews; seller opt-outs

Learning the true price effect

Small randomised price tests inside the pilot, because sellers' own price moves blur it in historical data

Risks and how we control them

Risk	Control
Models learnt on synthetic data	Retrain on Meesho's history and backtest before any seller sees a number
Price effect confused with quality	Learn within each listing; confirm with randomised price tests
Sellers don't trust a black box	Every number shows its working; the seller decides
Everyone nudged to one price	The floor is seller-specific; the band is only a reference
Wrong costs typed in	Flag costs far from category norms before showing a price

Rollout

30 days

Floor and the bill in the listing flow. Seller types making cost, packaging and gifts; Meesho fills fees, return and RTO rates, GST.

60 days

Start price and range live for soap and t-shirts.

90 days

Launch-lower planner and repricing alerts.

The 10x part

Every seller who types in their costs adds data nobody has today: which below-cost launches pay back, by category and rating. The advice improves with every launch.

Appendix: sources, data and demo assumptions

Every number in the deck traces back to one of these. Links work in PowerPoint and in the PDF.

Our primary research

Seller interviews, n = 7

Instagram outreach; how each seller sets a price.

[Interview folder](#)

307 live meesho.com listings, 8 categories

Category, price, rating and review count. [Listings sheet](#)

Team research folder

Listing data and supporting files. [meesho-dice folder](#)

Demo video of the working prototype

[Watch on Loom](#)

Public sources

Meesho Tech blog: price recommendation

How Meesho matches products today (slides 6, 7).

medium.com/meesho-tech

Meesho supplier pricing page

Seller fees and delivery charges.

supplier.meesho.com/pricing

Meesho seller fees explained

Fee breakdown used in Round 1. ecomvanshika.com

Meesho Limited offer documents

Seller base and scale. [Notice to investors \(RHP\)](#),

[IPO details](#)

Competitor pricing tools [1] to [7]

[1] [Amazon Automate Pricing \(Amazon seller tools\)](#) [2]

[Meesho Tech blog: price recommendation](#) [3]

[eBay price prediction talk \(ZenML\)](#) [4] [Mercari](#)

[price guidance and Smart Pricing \(Mercari Engineering\)](#)

[5] [Airbnb dynamic pricing, KDD 2018](#) [6]

[Flipkart Commerce Cloud \(Chain Store Age\)](#) [7]

[Competera platform](#) on slide 7.

Demo data and assumptions

Synthetic data, built to show the method

300 listings (150 soap, 150 t-shirt), 7,627 listing-weeks, 28,639 reviews, Sep 2025 to Sep 2026. Not a forecast for real sellers. [Synthetic Data](#)

Costs assumed in the demo

Delivery ₹30 per soap and ₹70 per t-shirt parcel; a return pickup costs the same; RTO parcels come back intact; GST 5%.

Returns

A returned soap can't be resold; about 70% of returned t-shirts go back to stock.

How the models were checked

Hold-out backtest (31% and 41% error, against 153% and 87% for a simple average) and a run against the simulator that generated the data.